Power Foundation of India

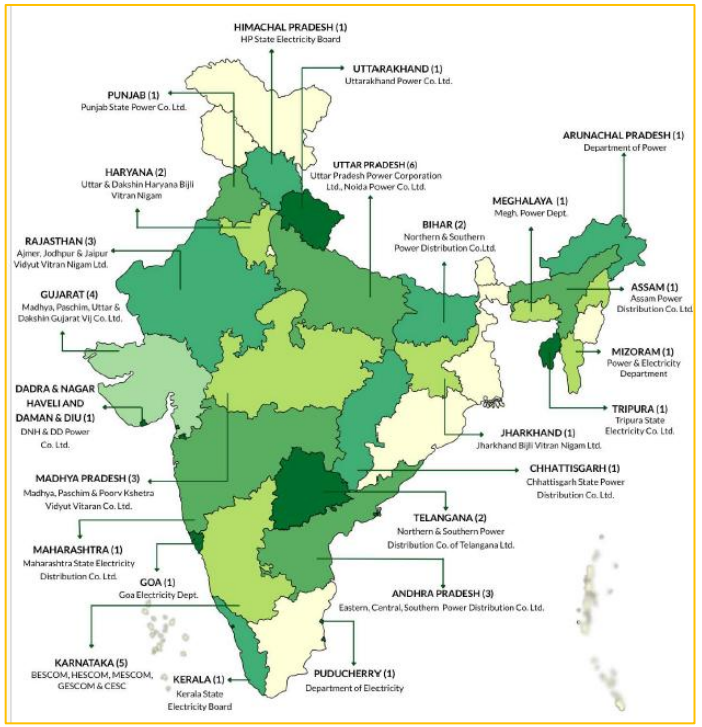
Distribution Utility Meet 2026

DISCOMs Financial Transformation and Capital Market

27th Oct, 2026
Jaipur

PFI – Key Activities

Party before SERCs DISCOMs Tariff Petitions



FY 2025-26

46 critical DISCOMs

Across **26** States

FY 2024-25

21 critical DISCOMs

Across **9** States

Regional Regulatory Workshops



~200 participants trained till date

Regulatory Chintan Shivir

Two-day sessions with Sr. Officers of SERCs & DISCOMs

MoP Discussion Notes / Comments

- Hon'ble SC judgement on RA Liquidation
- Comments on Draft NEP 2025
- De-regulating 1 MW & above consumers
- Rationalizing Tariff Fixed Charges
- Sodium Ion Battery

Published Reports

- Regulatory Rating
- Agrophotovoltaics
- Incidence of E-Bus Charging

Studies

- Impact Assessment of EA 2003 & way forward
- Reg. Framework Review & Institutional Strengthening
- Litigation Reduction

Comments on Draft Regulations

MERC · DERC · CERC · GERC

Every structural reform debate ultimately lands on DISCOMs Balance Sheet

Power Foundation of India

Generation	Transmission	Distribution	Consumers
~547 GW installed; thermal + fast-growing RE	Inter-state & state grids; one nationally synchronized grid	80+ DISCOMs : wires, retail supply, metering, billing	30+ crore connections; peak demand 271 GW
~ ₹7 lakh Cr.	**~ ₹1 lakh Cr.**	**~ ₹10 lakh Cr.** (Network: ~ ₹2 lakh Cr.)	**Subsidy: ~ ₹2.5 lakh Cr.**

A weak DISCOM transmits financial stress in both directions

UPSTREAM

Delayed payments to generators and transmission utilities

Pressure on supply-chain liquidity and new investment

UTILITY

Working-capital borrowing and higher interest cost

Less capacity for network maintenance and modernisation

DOWNSTREAM

Tariff pressure, service constraints and state support

Higher contingent liabilities for governments and lenders

Financially viable DISCOMs are essential for reliable supply, investment and lower system-wide credit risk

India's Power Sector Story : ± 2 Decades

Power Foundation of India

	Peak Demand	Per Capita Consumption	Installed Capacity	Non-Fossil Share	AT&C Losses	Investment Done/ Requirement
2007	101 GW	672 kWh	132 GW	35%	30.62%	₹ 0.79 Lakh Cr. (annual)
	2.7x	2.2x	4.2x			
2026	271 GW	1,460 kWh	555 GW	55%	15%	₹ 2.68 Lakh Cr. (annual)
	2.6x	2.7x	3.8x			
2047	708 GW	4,000 kWh	2,100 GW	> 80%	....	~₹ 10 Lakh Cr. (annual)
		1.8x	2.3x			
2070	...	7,400 kWh	4,750 GW	95%	....	₹ 28 Lakh Cr. (annual)

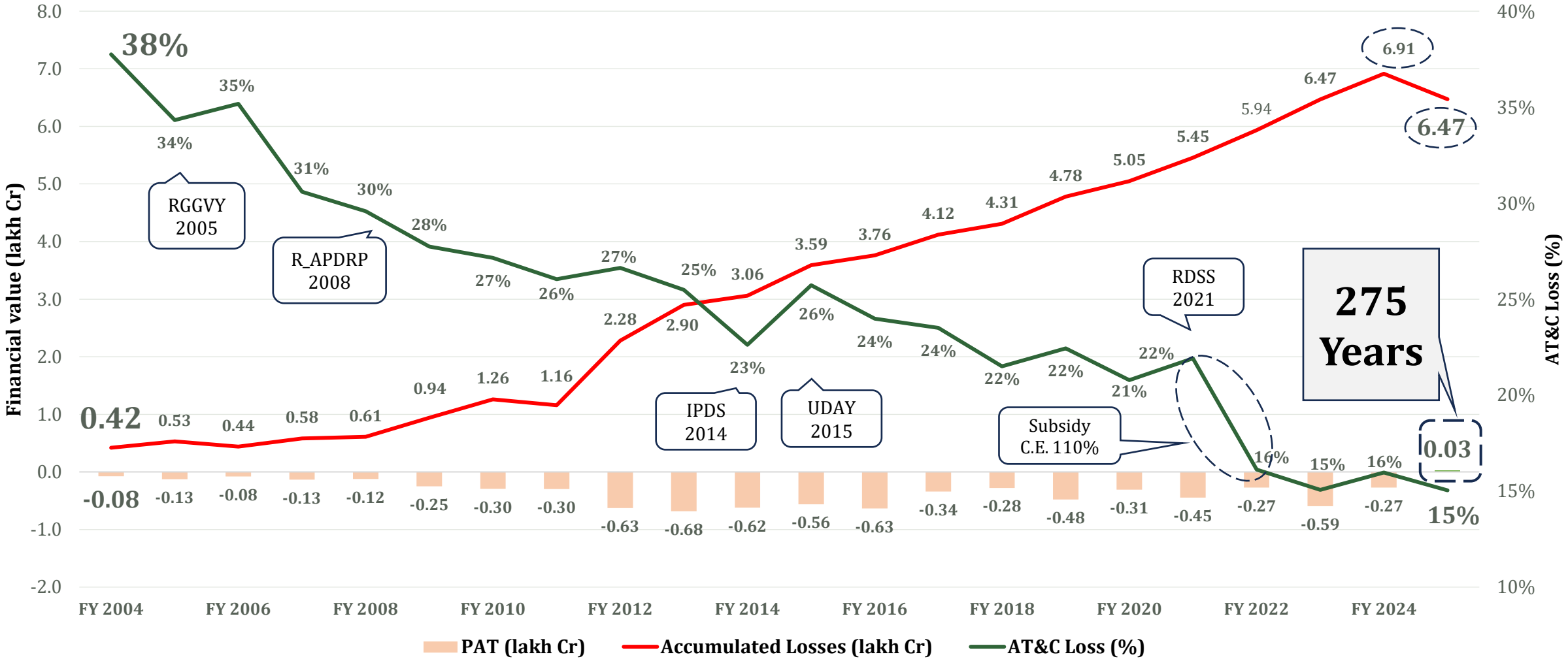
Indian Budget ~ ₹ 53 Lakh Cr.

₹ 200 Lakh Cr. (2026-47)

₹ 1,233 Lakh Cr. (2026-70)

DISCOM Performance post Electricity Act 2003

PAT, accumulated losses and AT&C loss, FY 2004–2025



Where Will Power-Sector Finance Come From?

Power Foundation of India

POWER-SECTOR FINANCING OUTLOOK | 2026–2070

Net Zero financing assessment • All figures in ₹ lakh crore

~ ₹ 16 Lakh Cr. annually

FINANCE REQUIRED	PROJECTED AVAILABLE FINANCE	FINANCING GAP
₹1,233 lakh Cr.	₹693 lakh Cr.	₹540 lakh Cr.

DOMESTIC FINANCE — 86% | ₹598 lakh Cr.

Banks & NBFCs Including PFC, REC and IREDA	**₹346.2**
Other domestic sources Institutional / corporate and other capital	**₹251.8**

58% banks/NBFCs • 42% other domestic

FOREIGN FINANCE — 14% | ₹94.6 lakh Cr.

Foreign Direct Investment (FDI)	**₹50.2**	53%
Foreign Portfolio Investment (FPI)	**₹31.2**	33%
External borrowings	**₹13.2**	14%

FDI 53% • FPI 33% • External 14%

INSTRUMENT MIX OF AVAILABLE FINANCE — Loans ₹355.7 (51%) | Equity ₹266.4 (39%) | Bonds ₹70.6 (10%)

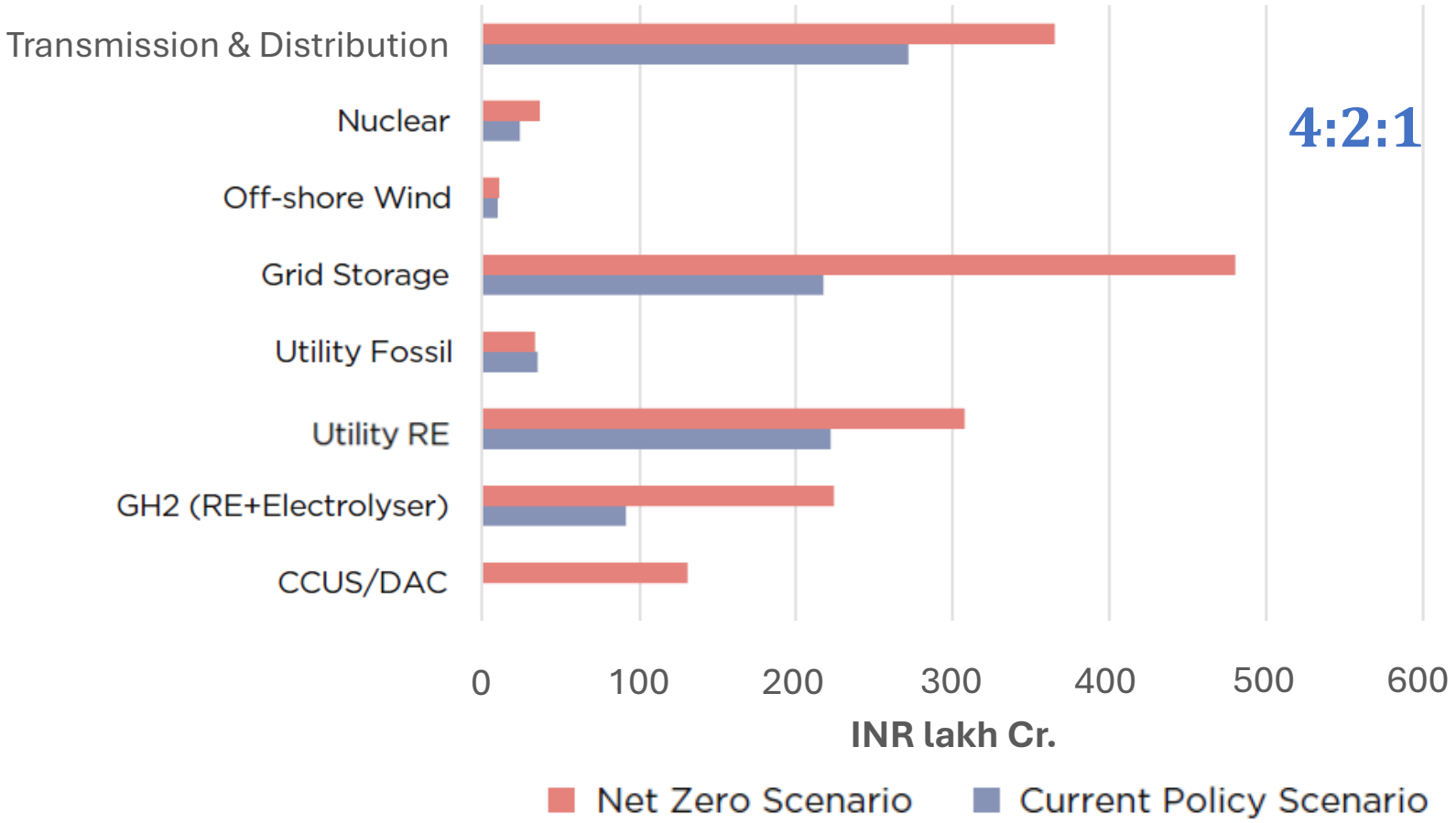
NOTE ₹693 lakh cr is the projected finance available—not total investment required. The ₹540 lakh cr gap is additional financing needed.

Source: NITI Aayog, Financing Needs (Vol. 9), Table 4.2 & Figure 4.7. INR shown at illustrative ₹100/US$; rounded. Availability is projected, not committed.

Technology-wise Investments Required to meet Net Zero

Power Foundation of India

Technology-wise split of Cumulative Total Investment required till 2070



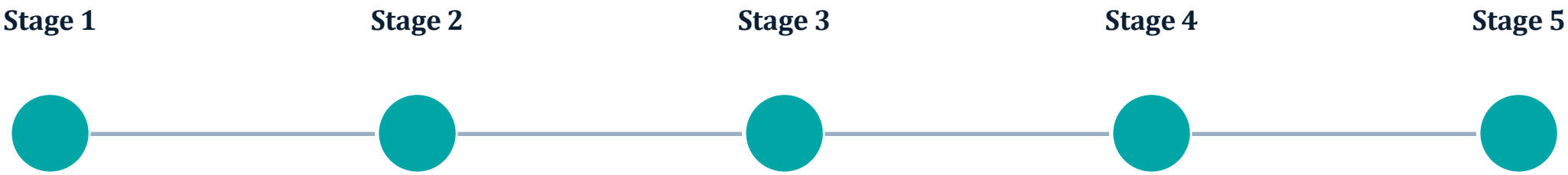
Particulars	2023	2070
Banks %credit portfolio	5%	9%
Power Cos. Share in NIFTY50	2-2.3%	5%
Corporate Equity	3%	5%
% of FDI inflow	5%	6%

FINANCING GAP

₹540 lakh Cr. !!

Source: NITI Aayog, Financing Needs (Vol. 9). INR shown at illustrative ₹100/USD

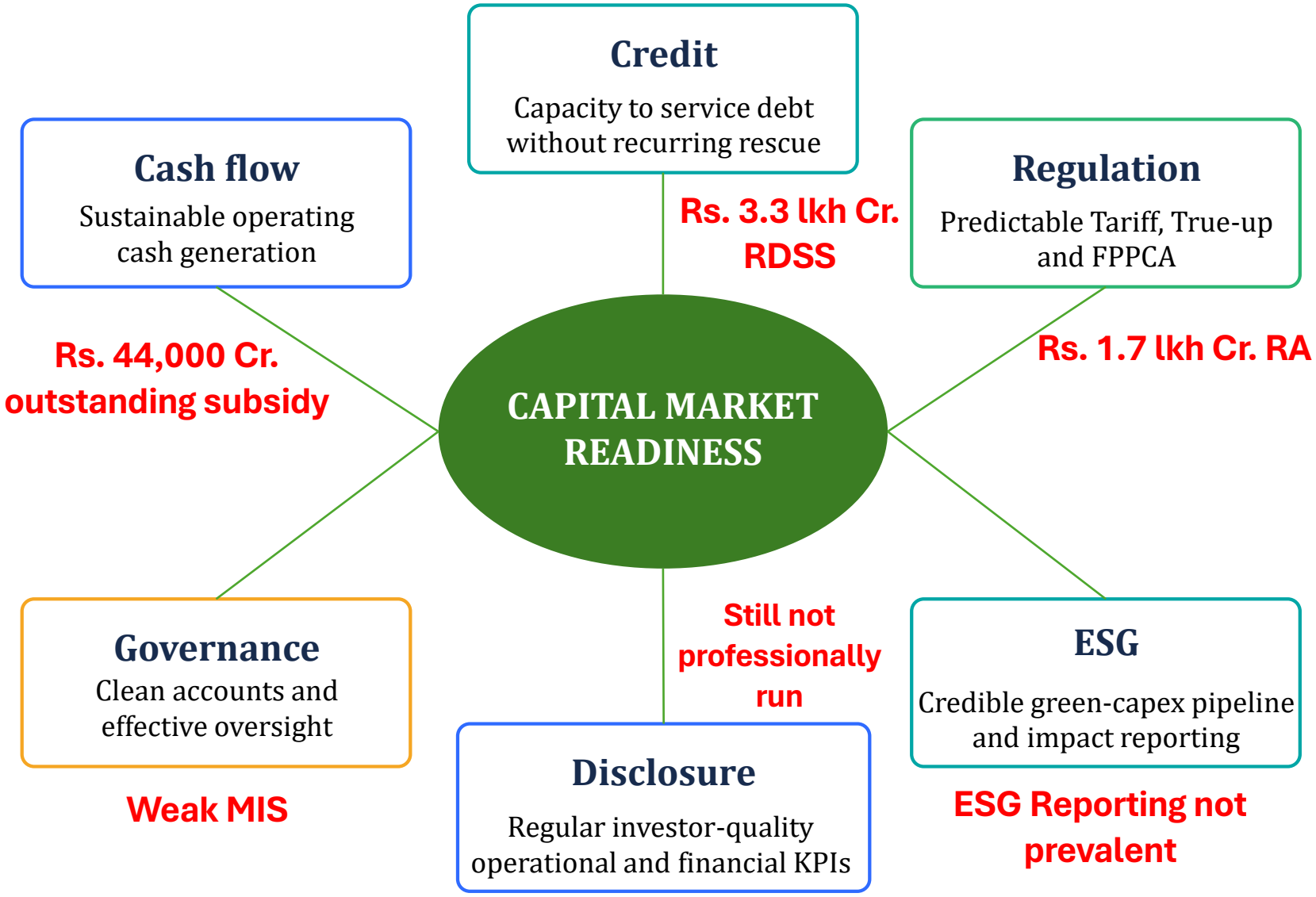
Capital market financing options for DISCOM transformation



Stage 1	Stage 2	Stage 3	Stage 4	Stage 5
Traditional	**Credit-enhanced**	**Market-linked**	**Thematic finance**	**Asset monetization**
State Government/ PFC/ REC	State-guaranteed bonds	Corporate bonds/ Non-Convertible Debentures	Green bonds/ sustainability-linked instruments	Infrastructure monetization/ PPP structures

A financially weak state DISCOM should not jump directly to capital markets. Operational and financial repair must precede market-based financing

What capital-market readiness means for a DISCOM



The immediate decision is not "IPO or no IPO", but which capital pathway fits the utility

Bond / loan market

Predictable cash flows and ring-fenced capex

Strategic / PPP capital

Operating transformation and risk sharing

Public equity / IPO

Scaled growth and repeat access to equity

Listed Electricity Distribution Utilities

Power Foundation of India

Global precedents for capital-market participation in electricity distribution

COUNTRY	LISTED COMPANY	STOCK EXCHANGE	TURNOVER
PHILIPPINES	**Meralco**	PSE: MER	Rs. 75,000 Cr.
CHILE	**Enel Distribution Chile**	Chile: ENELDXCH	Rs. 14,700 Cr.
BRAZIL	**Energisa**	B3: ENGI11	Rs. 55,000 Cr.
UNITED KINGDOM	**National Grid plc**	LSE: NG.	Rs. 220,000 Cr.
UNITED STATES	**American Electric Power**	NASDAQ: AEP	Rs. 160,000 Cr.
INDIA	**CESC Limited**	NSE: CESC / BSE: 500084	Rs. 9,700 Cr.

Sources: CESC/NSE; Meralco annual report; Enel Chile investor information; Energisa IR; National Grid IR; AEP IR

Listed Electricity Transmission Utilities

Power Foundation of India

COMPANY / COUNTRY	LISTED SINCE	STOCK EXCHANGE	BUSINESS MODEL
Terna Italy	**2004**	Borsa Italiana	National electricity TSO
Elia Group Belgium / Germany	**2005**	Euronext Brussels	TSO-owning group
Global InterConnection Group UK / Netherlands	**2023**	Euronext Amsterdam	Interconnector platform
Redeia / Red Eléctrica Spain	**1999**	Spanish exchanges	TSO-owning group

Proposed | Not yet listed

MAHATRANSCO

Target: ~ ₹8,000 Crore

Reported indicative IPO size (14 Oct 2026)

Bihar State Power Transmission Co. Ltd.

Target: ~ ₹1,000 Crore

NTPC & NHPC after listing

Power Foundation of India

IPO 2004

Total IPO Size **₹5,368 Cr.**

Fresh equity raised by NTPC: ₹2,684 crore | Government OFS: ₹2,684 crore

FINANCIAL PERFORMANCE

Indicator	Pre-IPO	~5 years after	Growth
Turnover (₹ cr)	18,852	46,169	2.4×
PAT (₹ cr)	5,261	8,728	1.7×
Net worth (₹ cr)	35,551	62,438	1.8×

	At Listing	Today	
Share Price	62.96	298.00	4.7×

CREDIT PROFILE | High domestic ratings maintained with AAA

IPO 2009

Total IPO Size **₹6,038 Cr.**

Fresh equity raised by NHPC: ₹4,026 crore | Government OFS: ₹2,013 crore

FINANCIAL PERFORMANCE

Indicator	Pre-IPO	~5 years after	Growth
Turnover (₹ cr)	2,672	6,737	2.5×
PAT (₹ cr)	1,075	2,124	2.0×
Net worth (₹ cr)	17,978	28,286	1.6×

	At Listing	Today	
Share Price	35.25	69.84	1.9×

RATING MILESTONE | CRISIL AA+ → AAA (Nov 2015)*

*Note: *NHPC rating upgrade occurred after the five-year comparison period. Post-IPO growth cannot be attributed solely to listing.*

Sources: NTPC IPO Prospectus (2004) & Annual Report FY2010; NHPC IPO / Annual Reports FY2012–FY2016; CRISIL rating history.

PGCIL & CESC after listing

Power Foundation of India

IPO 2007

Total IPO Size **₹5,711 Cr.**

2007 IPO: ₹1,990 crore | 2010 FPO: ₹3,721 crore

FINANCIAL PERFORMANCE

Indicator	Pre-IPO	~5 years after	Growth
Turnover (₹ cr)	4,082	13,329	3.3×
PAT (₹ cr)	1,229	4,235	3.4×
Net worth (₹ cr)	10,778	26,213	2.5×

	At Listing	Today	
Share Price	56.59	247.40	4.3×

CREDIT PROFILE | High domestic ratings maintained with AAA

IPO 1995

Listed for 3 decades
Share price :



Sources: POWERGRID Annual Reports FY04, FY09 & FY14; SEBI IPO (2007)

PFC–REC MERGER

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PFC · Loan Disbursed (FY26)

₹1.65 lakh cr

REC · Loan Disbursed (FY26)

₹2.11 lakh cr

COMBINED ANNUAL DISBURSEMENTS

₹3.77 lakh cr

Combined outstanding loan portfolio: > ₹11 lakh crore | June 2026: merger scheme approved by both boards

POTENTIAL BENEFITS

- **Scale & efficiency**
  Unified funding, appraisal and operating systems could lower duplication.
- **Integrated financing**
  Better coordination across generation, networks, storage and DISCOMs.
- **Capital mobilisation**
  Larger platform may diversify funding and support major projects.

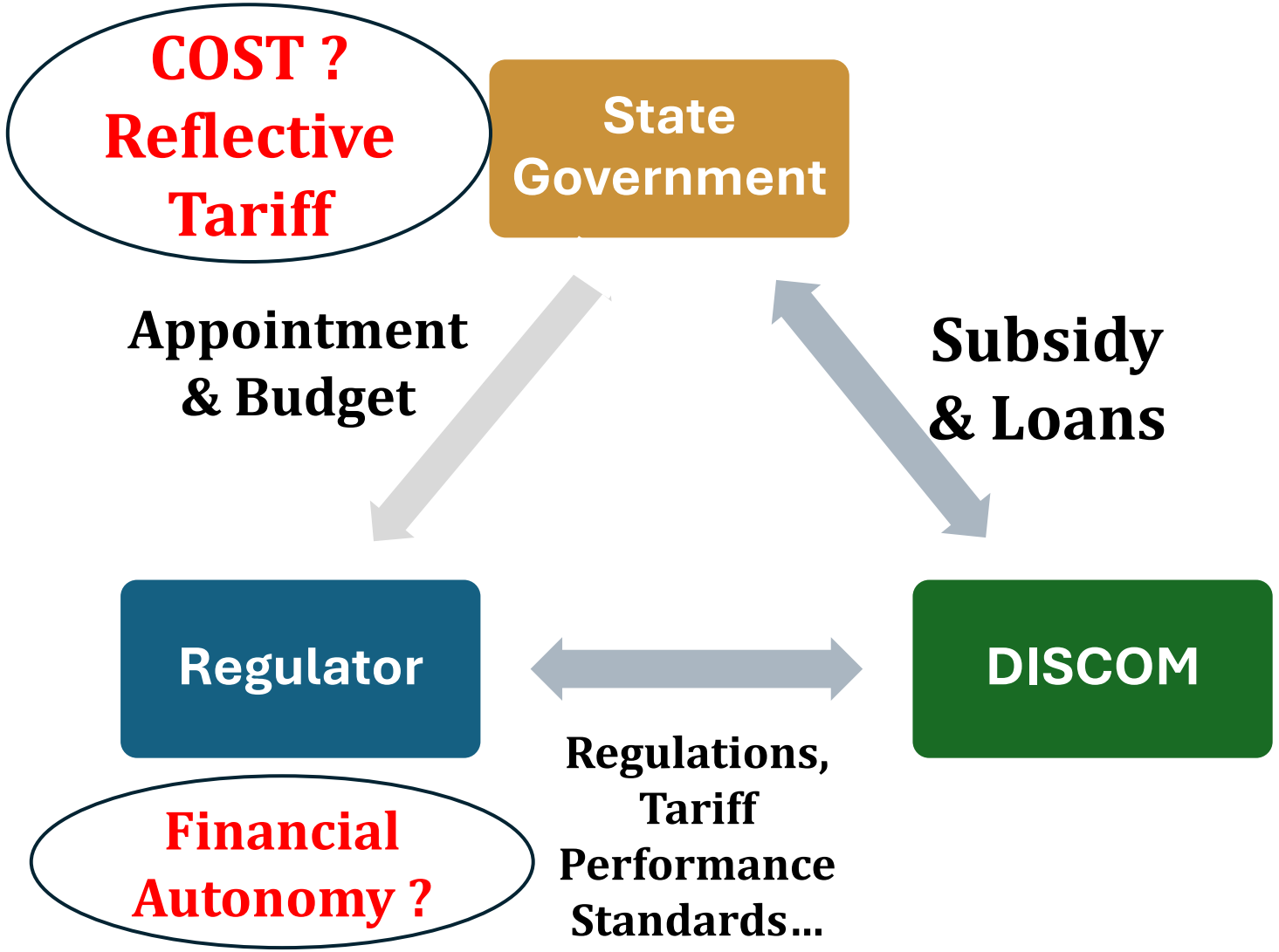
POTENTIAL CHALLENGES

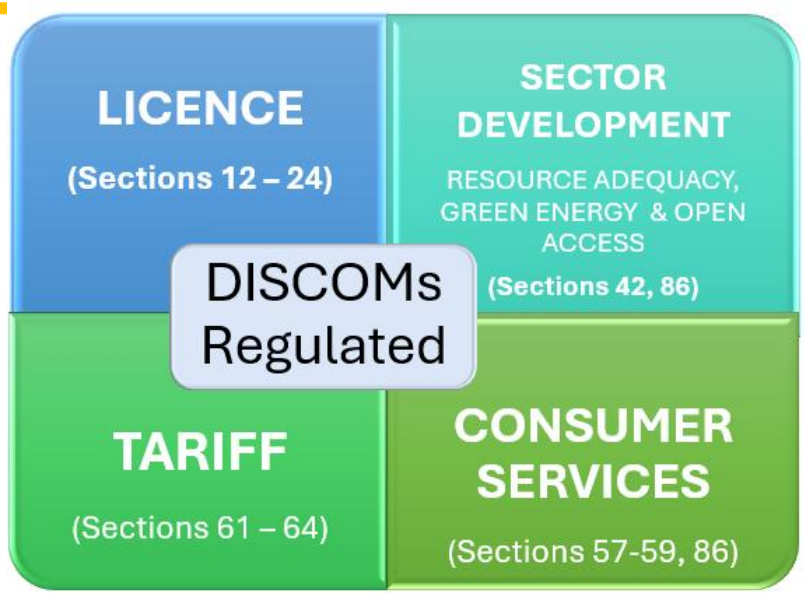
- **Portfolio concentration**
  Greater exposure to common power-sector borrowers and risks.
- **Less lender choice**
  Utilities could lose an alternative specialised public-sector lender.
- **Transition & governance**
  Systems integration and regulation may entail costs and disruption.

Sources: PFC FY2025–26 Directors' Report; REC FY2025–26 Directors' Report; Ministry of Power / PIB, 30 June 2026.
Note: disbursements are sums of standalone disclosures; they are not a consolidated accounting figure.

DISCOMs ready to be invested ??

Interplay of key Stakeholders - More Cohesiveness



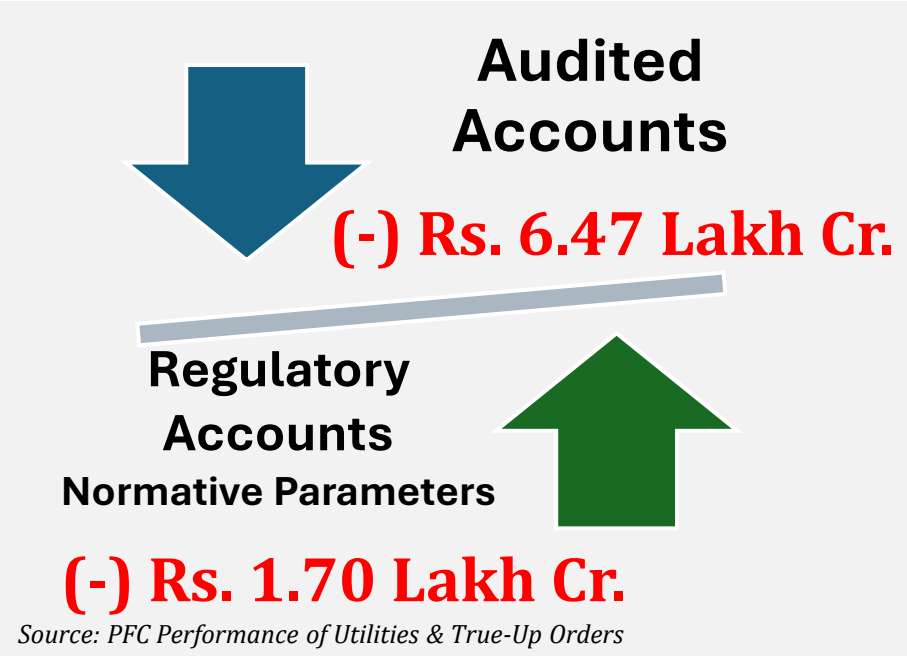


State Government
- Timely Payment of Subsidy

Regulator
- Normative parameters in line with ground reality
- Timely issuance of Tariff Order

DISCOM
- Meet normative parameters
- Timely filing of Tariff Petition
- Strategic Power Procurement
- Increase operational efficiency
- Levy monthly FPPAS

Two Parallel Accounts - CHAOS



Source: PFC Performance of Utilities & True-Up Orders

- Act & Tariff Policy mandate Competition & Efficiency – Performance Based Regime
- Punitive disallowances by Regulators separate efficient DISCOMs from inefficient DISCOMs
- Financial signal for DISCOMs to perform better

Outstanding Government Dues

Rs. 82,697 Cr.

Outstanding Government Subsidy

Rs. 44,321 Cr.

Cash flow of DISCOMs impacted

Pay GenCos timely

↓

Payment through WC Loans

↓

Actual Interest on WC > normative

↓

Disallowed by Regulator

Delayed Payment to GenCos

↓

Late Payment Surcharge

↓

Disallowed by Regulator

When we talk about Cost-reflective Tariff : Which Cost should be considered ?

Variation in Claimed Cost & Approved Cost

- Section 61 (g) - *"that the tariff **progressively** reflects the cost of supply of electricity"*
- Electricity (Amendt.) Bill, 2025 *"that the tariff ~~**progressively**~~ reflects the cost of supply of electricity"* - ***WELCOME MOVE***
- Cost-reflective..**But**

WHICH COST ?

FY 2024-25 (Rs. Cr.)

States	Actual Cost (P&L Expenses)	Approved Cost	Actual Revenue (P&L Revenue)	Approved Revenue
Rajasthan	77,611	70,456	77,140	74,288
Kerala	22,348	21,119	22,350	20,806
Tamil Nadu	1,02,484	95,234	1,00,249	1,00,251
West Bengal	31,560	30,382	29,905	26,611
Total	**2,34,003**	**2,17,191**	**2,29,643**	**2,21,956**

(16,812)

(7,688)

Source: FY 2024-25 Audited Accounts & True-Up Orders. Note: Date for WB is for latest True-Up of FY 2022-23

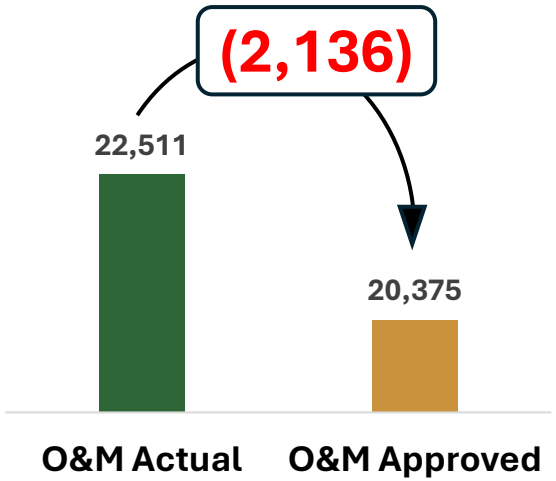
When we talk about Cost-reflective Tariff – which Cost should be considered?

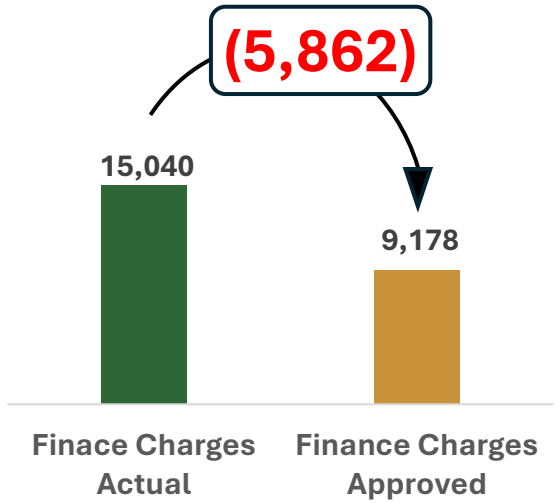
Fundamental Differences In Two Accounts - Expenses

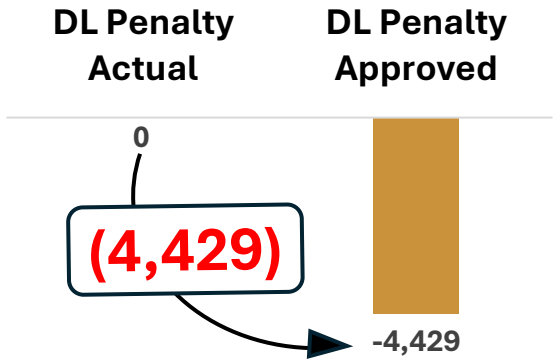
Key differences for 4 States

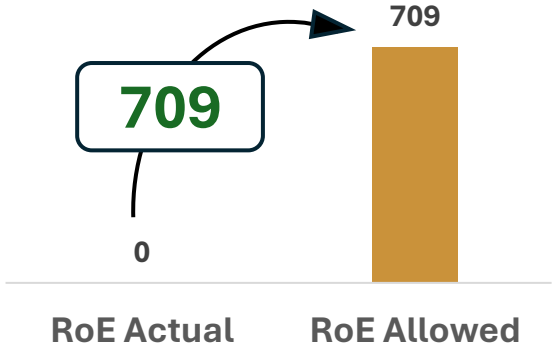
(Rajasthan, Kerala, Tamil Nadu & West Bengal)

Rs. Cr.





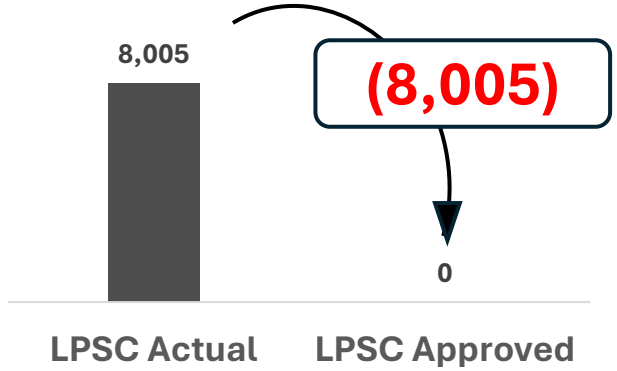




Source: FY 2024-25 True-Up Orders & Audited Accounts of DISCOMs

LPSC for 4 States

(Uttar Pradesh, Madhya Pradesh, Karnataka & Kerala)



DISCOMs ready to be investable !!

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Today

- High losses
- Low collections
- Cash deficit
- Borrowing
- Govt. support

Transformation

- Smart metering
- Loss reduction
- Cost-reflective tariffs
- Subsidy discipline
- Power procurement optimisation
- Governance

Future

- Predictable Cashflow
- Investment grade Credit profile
- Lower cost of capital
- Higher Capex capacity
- Reliable & sustainable Electricity Distribution

Power Foundation of India

Thank You